

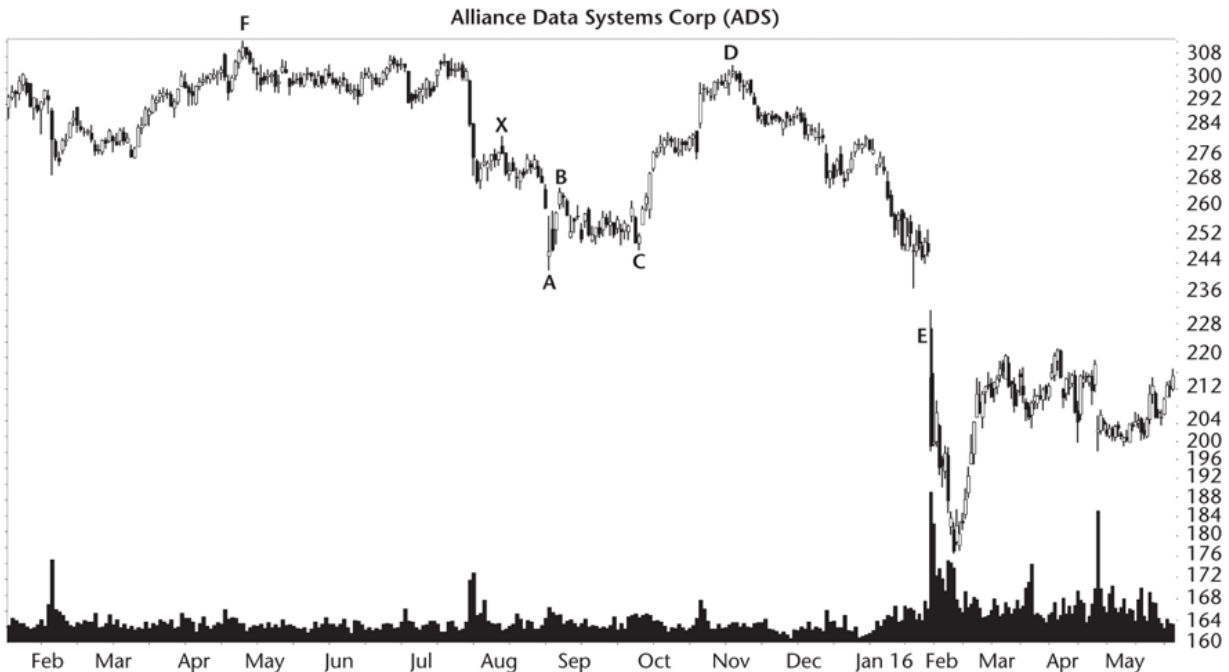


Figure 19.1 This bearish crab sees price tumble after D.

In this case, the bullish double bottom *does* see price rise but only to D. After that, price tumbles. The move amounted to a rise from B (the top of the double bottom) to D of 13%. That's good for a swing trade but far below the average rise for double bottoms.

Be cautious when you see price form a top and a bullish chart pattern appears at the end of that top. It can be a bull trap.

Let's talk about the bearish crab. Price drops into the pattern from F, forming the five turns XABCD. The turns are set by Fibonacci numbers, which I'll discuss in the next section. Don't depend on the pattern looking like this. Because the Fibonacci numbers vary, the shape of the pattern will look different from example to example. However, if you look at them from across the room (maybe using a large room and squinting), they'll appear like a big W or double bottom with tall sides.

At the end of the pattern, price rises to D. Here's the key to Fibonacci patterns. They are supposed to make a substantial turn at D. In this case, being a *bearish* crab, price is supposed to turn down. That doesn't always happen, but for the crab, the turn rate is very high, at least 87% of the time.

The turn rate is the first half of the puzzle. The second half is how far price drops. It doesn't do traders much good if price whips back upward. For the